

IBM z17

zStack pricing overview

Seller enablement

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All client examples described are presented as illustrations of how those clients have used IBM products and the results they may have achieved. Actual environmental costs and performance characteristics may vary by client.

IBM Z pricing background information that influences buying decisions

Maintaining existing workloads and disaster recovery

For clients who are using their IBM Z to maintain their business-critical workloads and/or maintain their DR posture

Growing workloads and taking advantage of new technologies

For clients who use their IBM systems to change and transform their business for growth, expansion, and optimization

Keeping the serial numbers and benefiting from new technologies

For clients maintaining a larger number of IBM Z mainframes, managing them by serial number is critical

Leasing vs buying

For clients who want to manage their investment in a regular monthly expense while benefitting from the most current technology in the marketplace

IBM z17 hardware pricing

Hardware pricing basics

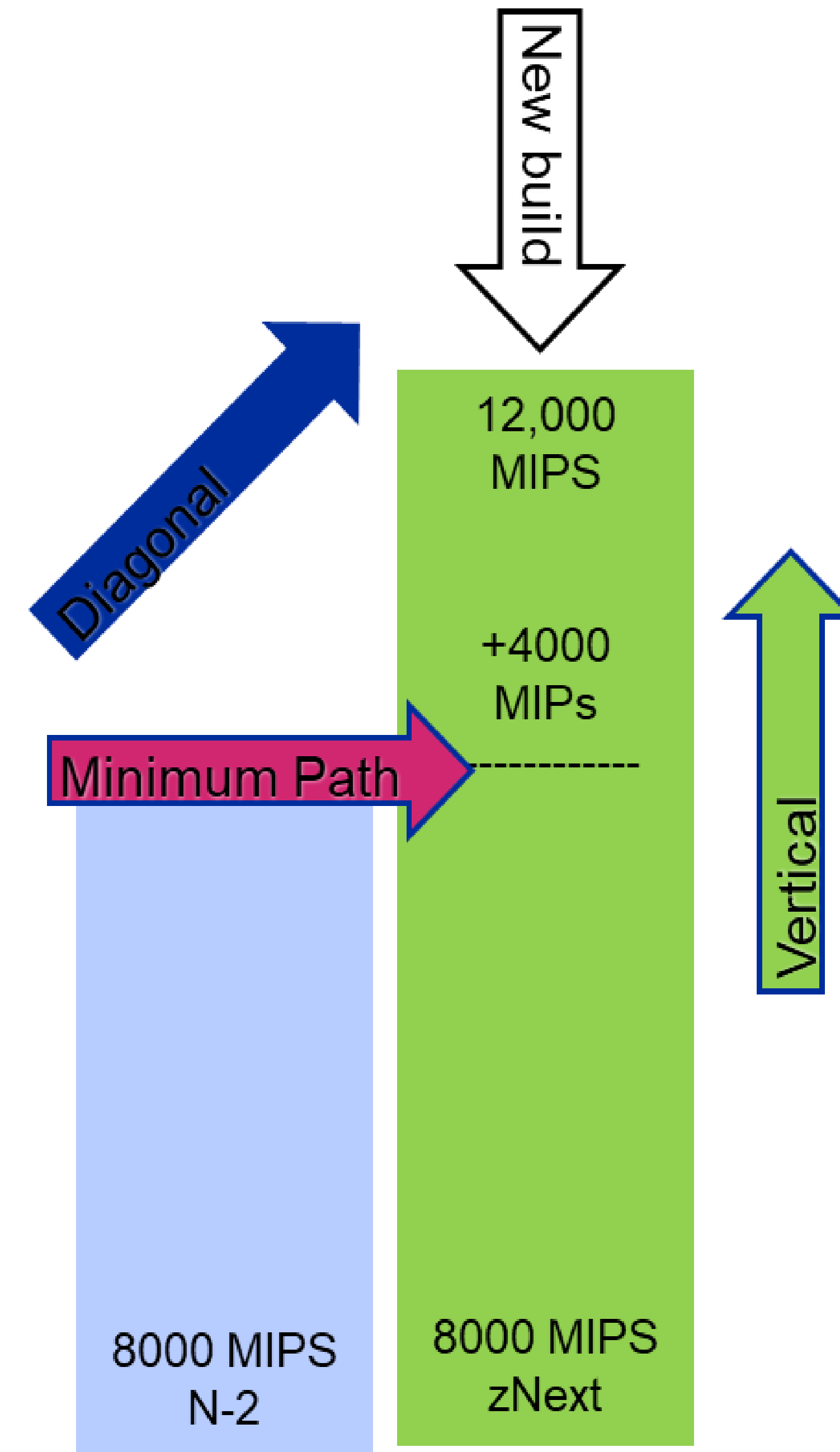
Traditional z/OS MIPS growth is the key factor driving price

Investment protection for N-1, N-2 upgrades to z17

- Clients does not rebuy existing MIPS
- If little or no MIPS growth, subject to **minimum upgrade path pricing**
- Pricing is more aggressive on new and fenced workloads (Dev/Test, DR, etc.)
- Specialty Engines (IFLs, zIIPs) are sold by engine at considerably lower price
 - For upgrades, subject to carry-forward charges

Clients acquisition options

- **New build** – new serial number (SN), pays for feature/function, 12-month warranty
- **Vertical** – new features or function added to existing SN, stay same generation
- **Frame Roll MES** – upgrade to IBM z17, keep same SN, upgrade in the field
- **Migration Offering (MO) or “Swap”**
 - Client exchanges N-1, N-2 for IBM z17 with investment protection pricing
 - All new HW delivered. New serial number yields warranty. Warranty benefit collected in HW price
- **Hybrid or “Tech exchange”**
 - Like MO but applies when client is leasing prior & new box
 - Uses “donor base” from GARS inventory, revenue uplift generally included



Technology upgrade, without growth, price increase

Minimum upgrade path pricing

- Client does not rebuy existing MIPS in upgrade, but there is a minimum price to move from N-1 or N-2 technology
- Client pays the minimum price, unless new MIPS growth price exceeds minimum
 - Add on top: Specialty engines, memory, incremental feature growth and warranty recapture

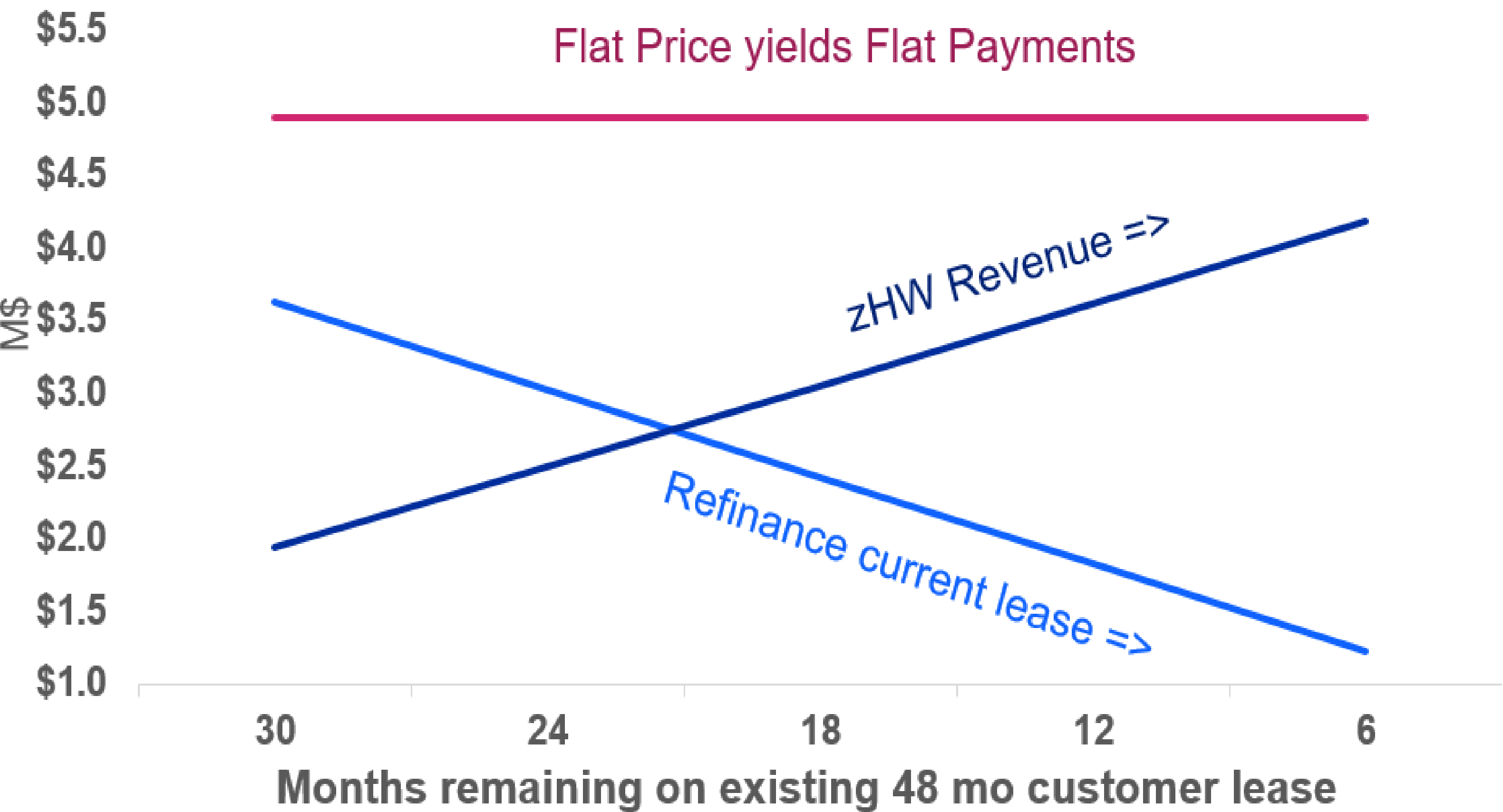
Pricing Element	IBM z17 ME1	IBM z16 A01	IBM z15 T01
Minimum path upgrade price % increase vs. N-1	Accelerated AI: Telum II (+15% vs. z16)	Telum processor (+15% vs. z15)	Data compression (+15% vs. z14)

Increase minimum upgrade path pricing rationalization

- Function & technology:
 - Enhanced accelerated AI: carry-forward with Telum II processor
 - Rearchitected I/O System Management & Hardware: Accelerated I/O DPU Technology
 - Generative AI: Spyre AI Accelerator & watsonx portfolio
- Economics :
 - “Inflation” - costs of development and product: Semiconductor, labor, parts costs
 - Longer cycle time between programs (3 yrs) allows for less lease to be refinanced

Late IBM z17 GA provides revenue opportunity for leased clients

If machine sold later in lease cycle, more zHW revenue for flat lease payment



Assume client maintains \$100K/mo, 48 mo lease between current & IBM z17

zHW revenue increases the later the box is refinanced ... 1 month later is worth ~\$100K

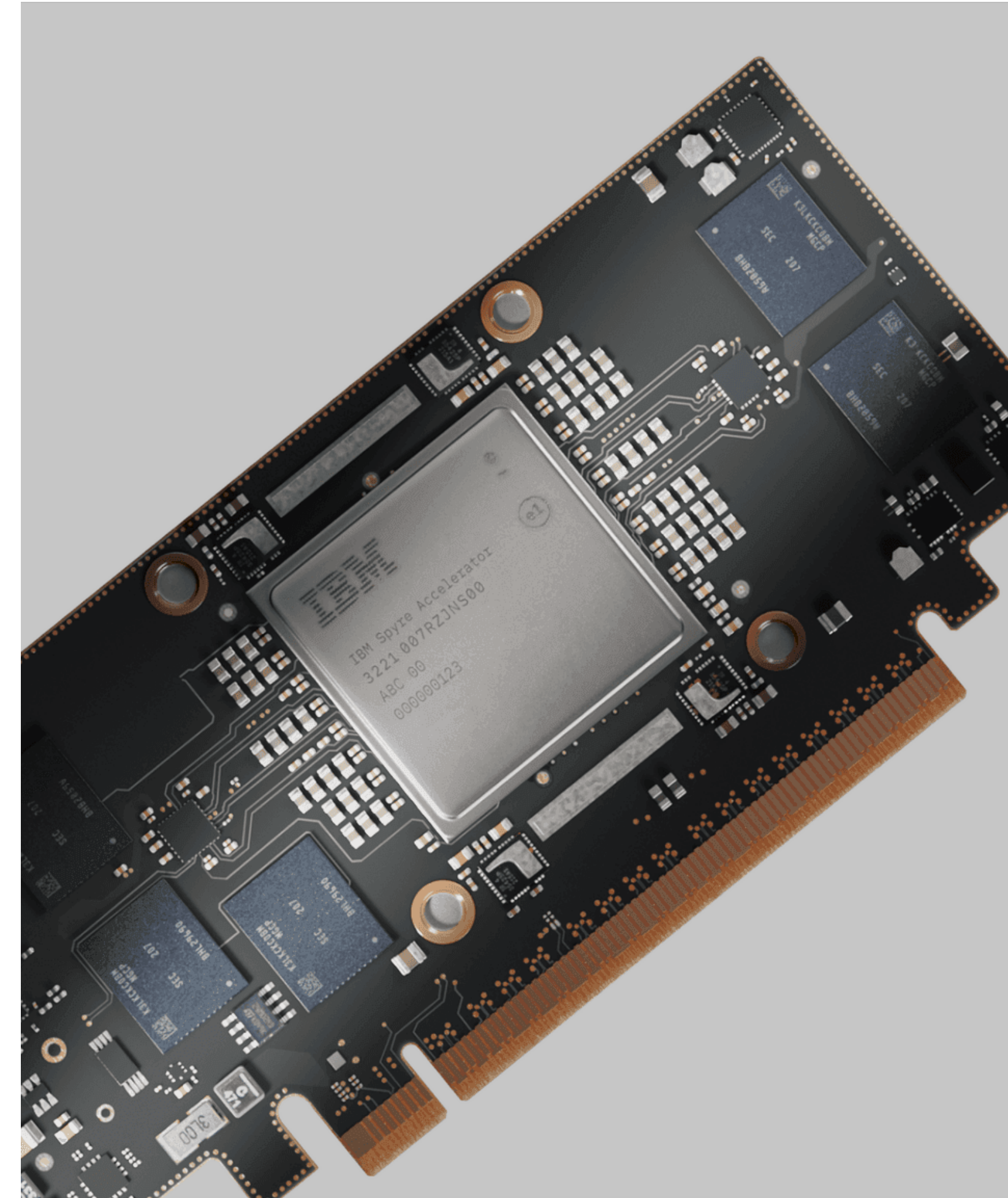
IBM z17 GA is 3 months later than IBM z16 vs. z15 GA (3 years vs. 2.75 years)

- zHW revenue impacts:
- Rate buy down
 - Delayed returns
 - Client credits (TIP)

Spyre AI Accelerator card

Future announcement & GA in 2H'25 – what can we do now?

- 2Q'25 Statement of Direction = IBM can talk about the offering but cannot order in 2Q'25
 - **Important to plan ahead now!**
 1. **Use Spyre AI Accelerator card reserve FC 0061** to plan for required hardware infrastructure (\$0 feature) for 8-48 “hold slots”
 - eConfig will auto-add a “starter set” of 8 reserve FC 0061 – seed client readiness!
 - FC ensures optimal slots, IO drawers, etc. planned for later Spyre AI Accelerator Card plugging
 2. **Add any additional HW features** needed in preparation for client use case (zIIPs, IFLs, memory, etc.)
 3. **TIPS** (or credits on account) for the clients that can accept them
 - WXA4Z Bundle: IBM watsonx Assistant for Z software, Expert Labs, and 8 Spyre AI Accelerator cards with 1 year term (2 size bundles: deals >\$3M-\$5M)
- or
- HW TIP: customizable for Spyre AI Accelerator “starter set” or larger “production sets” with desired term (recommend 3yr)



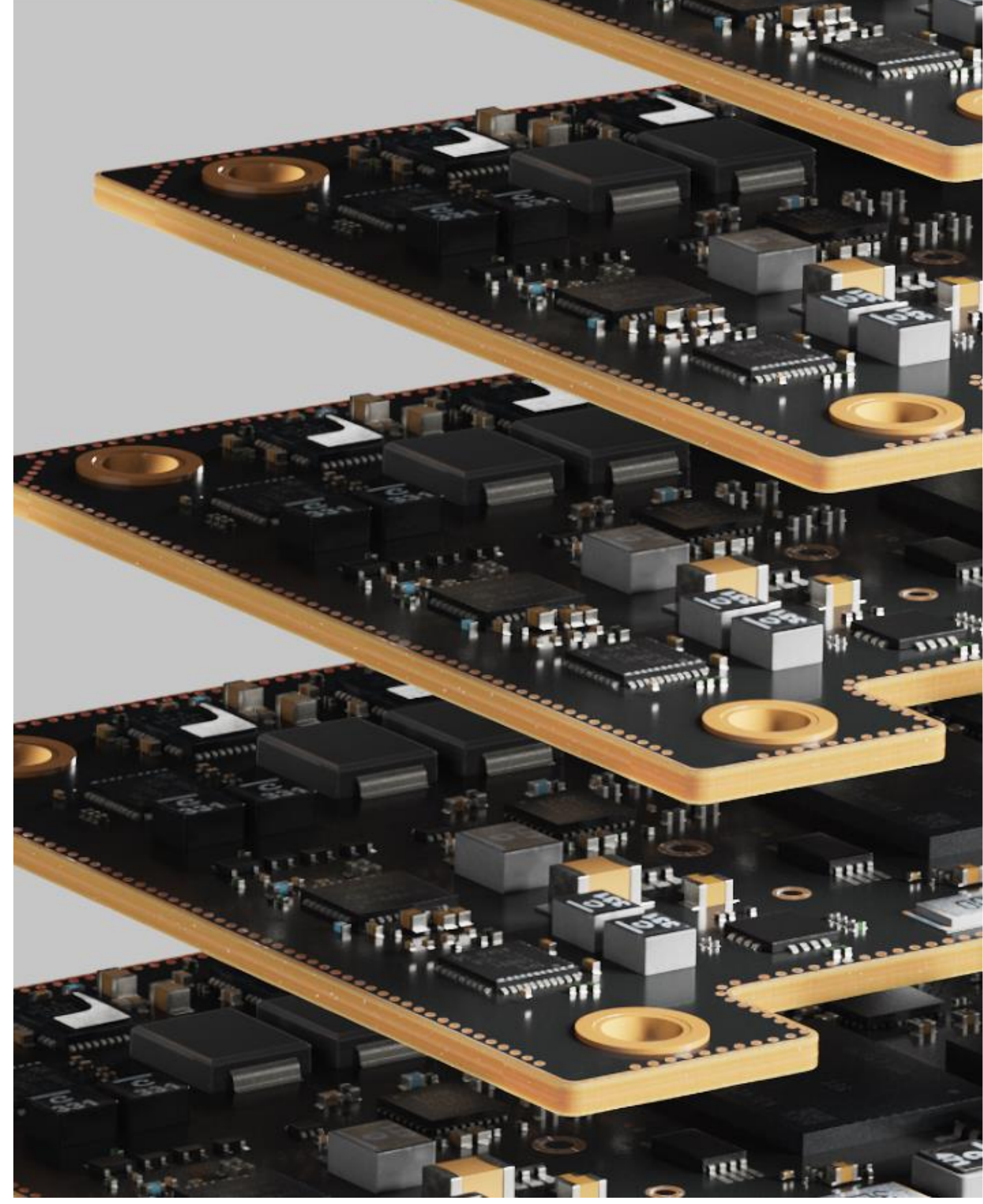
- **Either option is not a “give-away” incentive.** Add the price to cover the TIP on top of the IBM z17 price
- Currently working on TIP language for both these options

Spyre AI Accelerator card

At announce, anticipate a new pricing approach for Spyre feature/function

- A two-part pricing metric:
 1. FC 0463 = Spyre AI card activation fee (one-time fee & installs hardware) – Min 8 / Max 48
 - Sales play anticipated for “Starter Set” (first 8) at reduced price compared to “Production Sets” (8+)
 2. FC XXXX (TBD) = Spyre Committed Term License (for right to use), 3-year term recommended (1-5yr)
 - One License will be required for each FC 0463 – must be ordered at same time, prepaid.
 - License must be renewed at term end to continue right to use of Spyre HW per T&Cs
 - Expiration stored in VPD. Visible in Call Home Connect. Notification as approaches expiration.
- Expect sales contract with special right to use terms that must be signed at time of Spyre AI Accelerator card sale

As of 2Q 2025, subject to change before the planned announcement.



IBM z17 software pricing strategy and pricing examples

IBM z17 and technology transition offerings

- Technology transition offerings are a vehicle to deliver SW price performance to clients when upgrading to a new generations of hardware
- Current structure uses AWLC or CMLC list price points as a base and applies a “savings percent” to the AWLC calculated price based on a table that is unique to each generation of new hardware
- Table is tiered based on the rated MSUs of the stand-alone machine or total rating of a sysplex / multiplex
- Applies only to AWLC or CMLC variable charge MLC products. It is not applicable to IPLA or flat charge metrics
- Includes “transition charges” for aggregated SW pricing environments of different HW generations

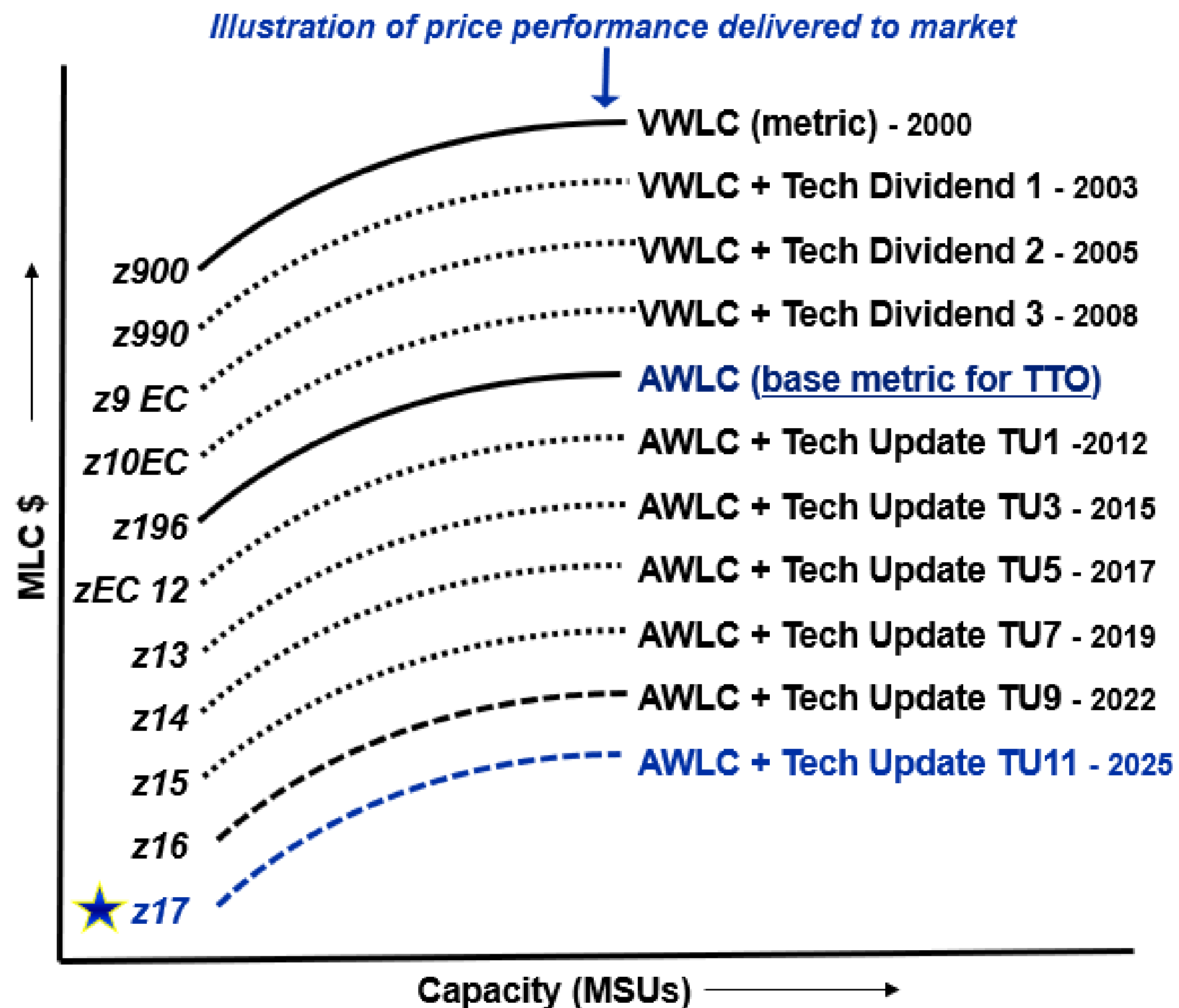
Technology Update Pricing for zEC12 <i>Applicable to zEC12 Pricing (TU1)</i> <table><tr><th>Machine rated <u>MSUs</u></th><th>Reduction to <u>AWLC</u></th></tr><tr><td>1-3</td><td>0.0%</td></tr><tr><td>4-45</td><td>2.0%</td></tr><tr><td>46-315</td><td>4.0%</td></tr><tr><td>316-1315</td><td>4.5%</td></tr><tr><td>1316-2676</td><td>5.0%</td></tr><tr><td>2677-5476</td><td>6.0%</td></tr><tr><td>5477+</td><td>7.0%</td></tr></table>	Machine rated <u>MSUs</u>	Reduction to <u>AWLC</u>	1-3	0.0%	4-45	2.0%	46-315	4.0%	316-1315	4.5%	1316-2676	5.0%	2677-5476	6.0%	5477+	7.0%	Technology Update Pricing for z13 <i>Applicable to z13 (TU3)</i> <table><tr><th>Machine rated <u>MSUs</u></th><th>Reduction to <u>AWLC</u></th></tr><tr><td>1-3</td><td>0.0%</td></tr><tr><td>4-45</td><td>4.0%</td></tr><tr><td>46-315</td><td>8.0%</td></tr><tr><td>316-1315</td><td>9.0%</td></tr><tr><td>1316-2676</td><td>10.0%</td></tr><tr><td>2677-5476</td><td>12.0%</td></tr><tr><td>5477+</td><td>14.0%</td></tr></table>	Machine rated <u>MSUs</u>	Reduction to <u>AWLC</u>	1-3	0.0%	4-45	4.0%	46-315	8.0%	316-1315	9.0%	1316-2676	10.0%	2677-5476	12.0%	5477+	14.0%	Technology Update Pricing for z14 <i>Applicable to z14 (TU5)</i> <table><tr><th>Machine rated <u>MSUs</u></th><th>Reduction to <u>AWLC</u></th></tr><tr><td>1-3</td><td>0.0%</td></tr><tr><td>4-45</td><td>6.0%</td></tr><tr><td>46-315</td><td>12.0%</td></tr><tr><td>316-1315</td><td>14.0%</td></tr><tr><td>1316-2676</td><td>15.0%</td></tr><tr><td>2677-5476</td><td>18.0%</td></tr><tr><td>5477+</td><td>21.0%</td></tr></table>	Machine rated <u>MSUs</u>	Reduction to <u>AWLC</u>	1-3	0.0%	4-45	6.0%	46-315	12.0%	316-1315	14.0%	1316-2676	15.0%	2677-5476	18.0%	5477+	21.0%	Technology Update Pricing for z15 <i>Applicable to z15 (TU7)</i> <table><tr><th>Machine rated <u>MSUs</u></th><th>Reduction to <u>AWLC</u></th></tr><tr><td>1-3</td><td>0.0%</td></tr><tr><td>4-45</td><td>8.0%</td></tr><tr><td>46-315</td><td>16.0%</td></tr><tr><td>316-1315</td><td>18.0%</td></tr><tr><td>1316-2676</td><td>20.0%</td></tr><tr><td>2677-5476</td><td>24.0%</td></tr><tr><td>5477+</td><td>28.0%</td></tr></table>	Machine rated <u>MSUs</u>	Reduction to <u>AWLC</u>	1-3	0.0%	4-45	8.0%	46-315	16.0%	316-1315	18.0%	1316-2676	20.0%	2677-5476	24.0%	5477+	28.0%	Technology Update Pricing for z16 <i>Applicable to z16 (TU9)</i> <table><tr><th>Machine rated <u>MSUs</u></th><th>Reduction to <u>AWLC</u></th></tr><tr><td>1-3</td><td>0.0%</td></tr><tr><td>4-45</td><td>10.0%</td></tr><tr><td>46-315</td><td>20.0%</td></tr><tr><td>316-1315</td><td>22.0%</td></tr><tr><td>1316-2676</td><td>25.0%</td></tr><tr><td>2677-5476</td><td>30.0%</td></tr><tr><td>5477+</td><td>35.0%</td></tr></table>	Machine rated <u>MSUs</u>	Reduction to <u>AWLC</u>	1-3	0.0%	4-45	10.0%	46-315	20.0%	316-1315	22.0%	1316-2676	25.0%	2677-5476	30.0%	5477+	35.0%
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* CMLC in grandfathered country multiplex

IBM Z software pricing for IBM z17

- Continue to deliver 5% MLC price/performance on average with flat capacity
 - Price/performance comparable to Tech Update Pricing on IBM z16 (TU9) by SW tier established with IBM z16 & prior offerings
 - Price/performance scales with increased capacity from 0% to 7% vs z16
- Announce Technology Update Pricing for IBM z17 (TU11)
 - Maintain existing AWLC / CMLC software metric, list prices and contracts
 - Publish a new exhibit of AWLC / CMLC price reductions applicable to IBM z17
 - Continue price/performance delivery strategy of IBM zEC12, IBM z13, IBM z14, IBM z15 & IBM z16
- Sysplex Transition Program – Deliver p/p for partial IBM z17 plex upgrades
 - No incremental savings for N-3 and older hardware
 - Consistent approach with prior transition programs
- Tailored Fit Pricing for IBM Z updated to include IBM z17
 - Hardware requirement updated to include IBM z15, IBM z16 & IBM z17
 - Tech dividend flows through to Tailored Fit price points

Performance delivery – Continue savings tied to base AWLC / CMLC



Continues previous strategy & provides visible client savings

Technology Update Pricing for z17
Applicable to z17 (TU11)

Machine rated MSUs	Reduction to AWLC *
1-3	0.0%
4-45	12.0%
46-315	24.0%
316-1315	26.0%
1316-2676	30.0%
2677-5476	36.0%
5477+	42.0%

Effective Reduction to z16

0%

2%

5%

5%

7%

9%

11%

** CMLC in grandfathered country multiplex*
Effective reduction represents illustration of actual sample stack pricing

Savings based on total MSU capacity of IBM z17 machine or sysplex

System calculates AWLC / CMLC price points & applies savings to SW stack based on the table

z System processor AWLC Total Rated MSU = 400		
	MSUs	AWLC MLC \$K
z/OS	375	\$193
DB2	350	\$83
CICS	350	\$95
MQ	300	\$38
Older tools	WF	\$12
Total Stack		\$420

Technology Update Pricing for z17 Exhibit (TU11)	
HW MSU Range	Reduction to AWLC *
1-3	0.0%
4-45	12.0%
46-315	24.0%
316-1315	26.0%
1316-2676	30.0%
2677-5476	36.0%
5477+	42.0%

* Reduction savings also apply to CMLC

savings

Resulting MLC pricing for z17 (TU11)			
	MSUs	z17 MLC \$K	AWLC Savings
z/OS	375	\$143	26%
DB2	350	\$61	26%
CICS	350	\$70	26%
MQ	300	\$29	26%
Older tools	WF	\$12	0%
Total Stack		\$314	25%

Effective
Savings vs
z16 *
TU9
5.4%
5.4%
5.4%
5.3%
0.0%
5.2%

Example of savings using a sample SW stack

US street prices, will vary by country
% Savings calculated using full rated capacity of z17 machine
Older Tools = (Flat pricing)
* Effective savings represents list price delta of sample SW stack

IBM z17 transition charges

Transition charges for Sysplexes – price point illustration

Technology Update Pricing for IBM z16

Applicable to z16 (TU9)

Machine rated <u>MSUs</u>	Reduction to <u>AWLC</u>
1-3	0.0%
4-45	10.0%
46-315	20.0%
316-1315	22.0%
1316-2676	25.0%
2677-5476	30.0%
5477+	35.0%

Business as usual pricing
for z16

IBM z17 Transition Pricing

Exhibit 7 (TC7)

Machine rated <u>MSUs</u>	Reduction to <u>AWLC</u>
1-3	0.0%
4-45	11.0%
46-315	22.0%
316-1315	24.0%
1316-2676	27.0%
2677-5476	33.0%
5477+	38.0%

When transitioning from mixed
z16 & z17 plex to all z17

Technology Update Pricing for IBM z17

Applicable to (TU11)

Machine rated <u>MSUs</u>	Reduction to <u>AWLC</u>
1-3	0.0%
4-45	12.0%
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* CMLC in grandfathered country multiplex

New pricing for z17

IBM z17 transition charge updates

		IBM z17 Transition – Transition Changes (TC7) <i>New for z17</i> <i>N & N-1</i>	Reduction to AWLC / CMLC* <i>z17 & z16</i>
		z16 Transition - Transition Charges 6 (TC6) Original (New for z16) <i>Add z17 to TC6</i> <i>N & N-1</i> <i>N & N-1 and N-2</i>	Reduction to AWLC / CMLC* <i>z16 & z15</i> <i>z17 & z15 & z16</i>
		z15 Transition - Transition Charges 5 (TC5) Original (New for z15) Modified with z17 <i>IBM z17 added to TC5 or older programs only if added to existing qualifies Country Multiplex</i> <i>N & N-1</i> <i>N & N-1 and N-2</i>	Reduction to AWLC / CMLC* <i>z15 & z14</i> <i>z17 & z16 & z15 & z14</i>

* In sysplexes Business Class servers assume characteristics of same generation of Enterprise Class servers

- Announce Transition Charges 7 (TC7) for sysplexes or multiplexes of IBM z16 mixed with IBM z17
- IBM z17 is added to Transition Charges 6 (TC6) – Now includes N-2 technology
- IBM z17 is added to Transition Charges 5 (TC5) only if in an existing Country Multiplex that includes IBM z14

IBM z17 maintenance pricing

TLS pricing strategy

- Maintain 2% standard MIPS PPI with flat MIPS growth from IBM z16 / 3931 to IBM z17 High-end / 9175 for all active MIPS capacity features.
 - Provide Flat MIPS PPI to encourage migration to current technology
 - Additional PPI with MIPS growth and consolidation
- Specialty engines:
 - Maintain current specialty engine prices, deliver PPI through incremental processor & SMT performance benefit
- Processor Drawers:
 - No charge for first MaxXX configuration (Max43) for 1 drawer
 - Hold price for second MaxXX configuration (Max90) flat with 3931 - Max82 for 2 drawers
 - Adjust prices for additional MaxXX configurations based on change in processors

Processor drawer pricing

z16 HE / 3931 vs. z17 HE / 9175 Processor Drawer Germany TLS 24x7 HWMA Pricing:							
z16 3931				z17 HE			
Model / Max XX	No. Of Processors	No. Of Drawers	TLS Price Per Drawer/Mo.	Model / Max XX	No. Of Processors	No. Of Drawers	TLS Price Per Drawer/Mo.
A01-Max39	39	1	€ -	ME1-Max43	43	1	€ -
A01-Max82	82	2	€ 7,838	ME1-Max90	90	2	€ 7,838
A01-Max125	125	3	€ 24,686	ME1-Max136	136	3	€ 26,859
A01-Max168	168	4	€ 35,716	ME1-Max183	183	4	€ 38,905
A01-Max200	200	4+	€ 38,472	ME1-Max208	208	4+	€ 40,011

- Maintain similar TLS drawer pricing strategy as with IBM z16 HE
 - No charge for first MaxXX drawer configuration for 1 drawer
 - Hold price for second MaxXX drawer configuration flat with IBM z16 HE/3931 for 2 drawers
 - Adjust prices for additional MaxXX drawer configurations based on change in processors
- Enable 2% flat MIPS PPI for majority of zHE portfolio

IBM z17 standard MIPS PPI ranges

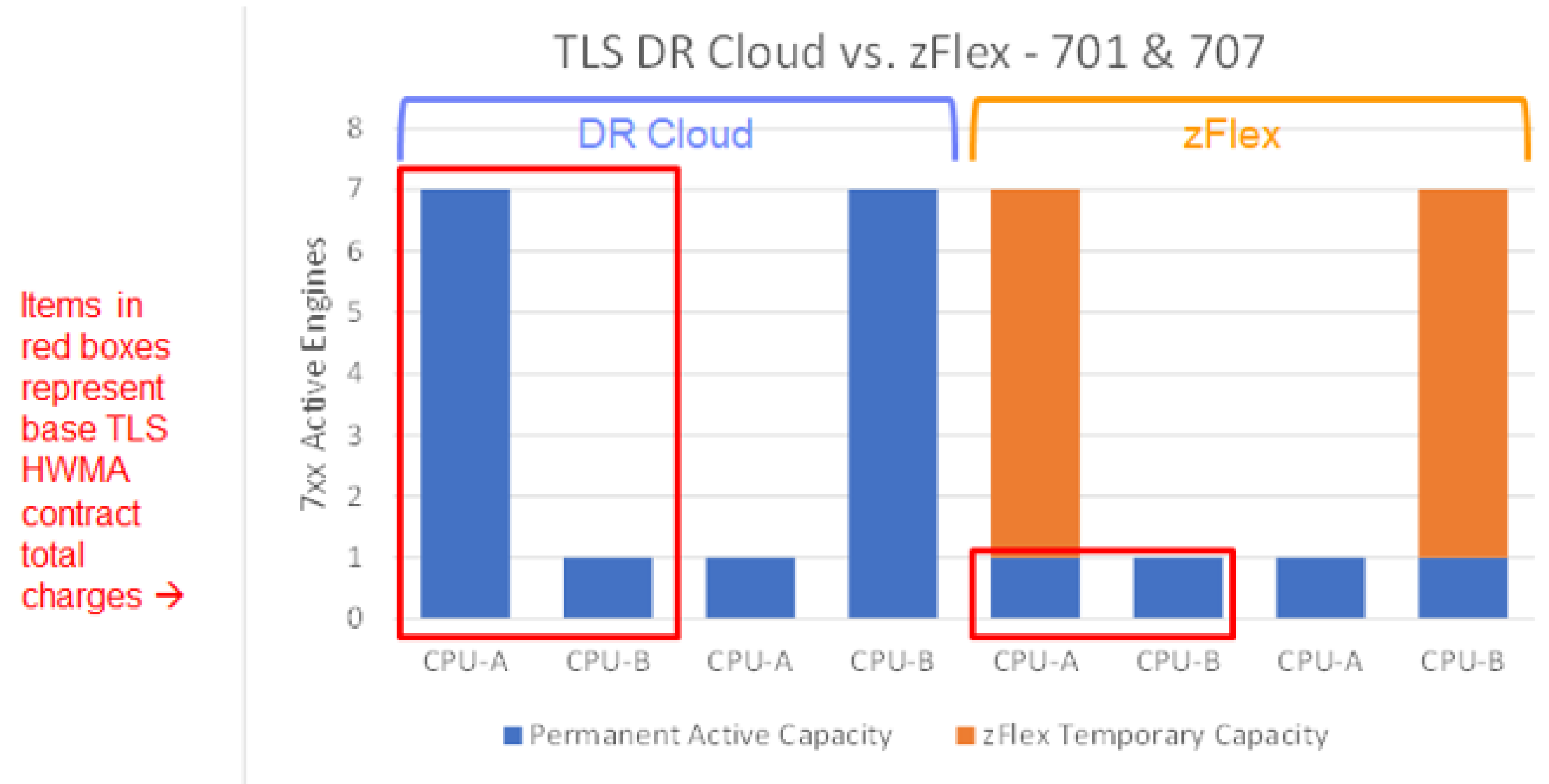
z16 3931 To z17 / 9175 Estimated Germany TLS 24x7 zHWMA Standard MIPS PPI:			
(MIPS Growth Points Based On z16)			
z16 3931 To z17 / 9175 Sceanario	Standard MIPS Growth	Monthly Price Change (MIPS)	PPI
10K Std. MIPS - No Growth	0%	-2%	2.1%
10K Std. MIPS - Low Growth	11%	1%	9.0%
10K Std. MIPS - High Growth	23%	3%	15.8%
15K Std. MIPS - No Growth	0%	-2%	2.0%
15K Std. MIPS - Low Growth	12%	4%	7.2%
15K Std. MIPS - High Growth	22%	6%	12.9%

- 2% flat MIPS TLS PPI, significant additional PPI with low & high MIPS growth
- TLS MIPS slope pricing provides PPI on all MIPS, not just incremental MIPS
- Limited need for incremental TLS discounting with IBM z16 to IBM z17 technology refresh deals

zFlex program & TLS quote support process

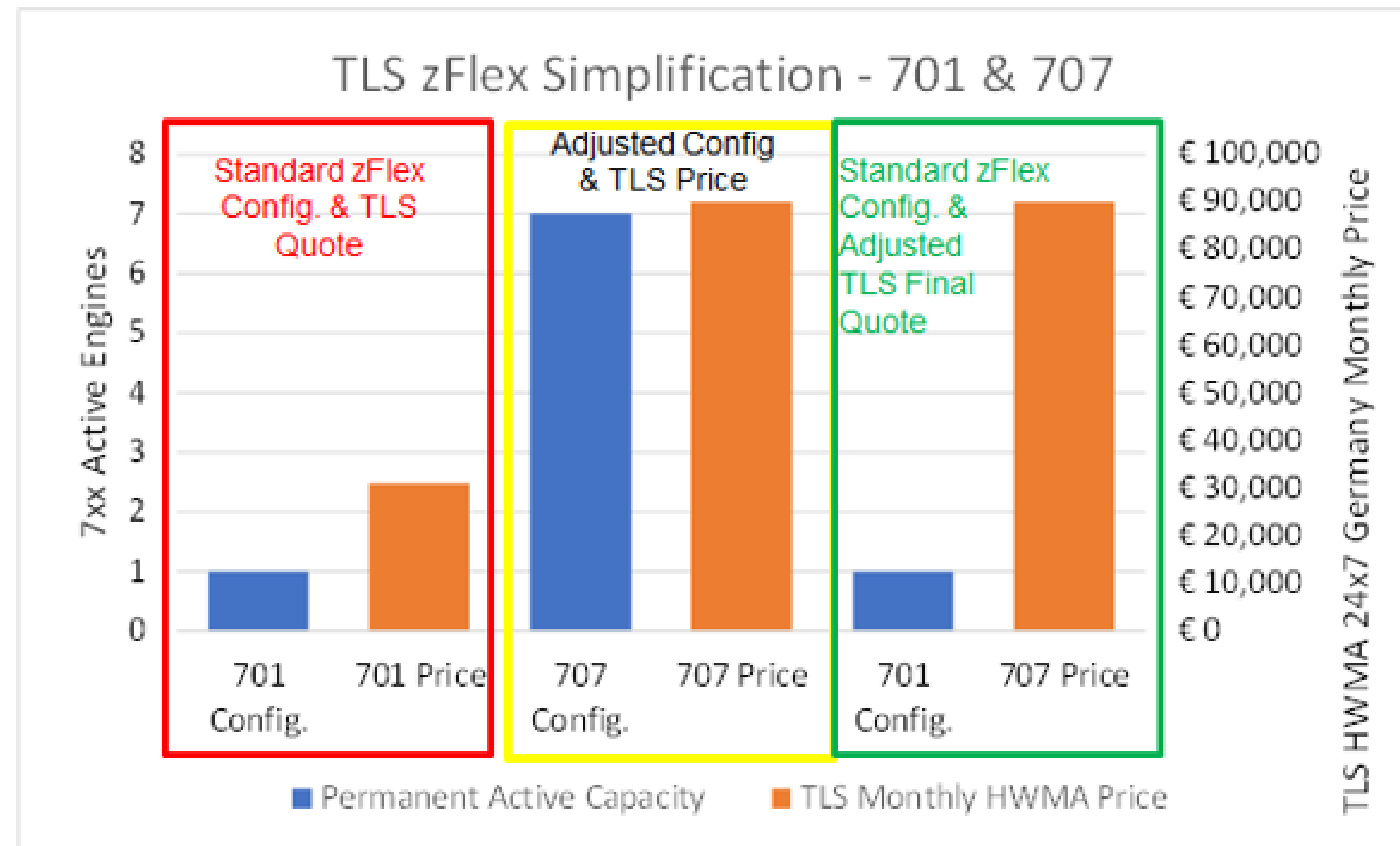
- zFlex program:
 - Advantages:
 - Helps IBM best control client's capacity usage
 - Provides more dynamic capacity transfer for clients
- Considerations:
 - More TLS complexity for clients and IBM deal teams
 - Manual process replaces previously automated ones
 - Clients receive two TLS charges Vs one previously
 - More difficult clients budget planning – particular issues for IBM Z clients at large financial institutions
- TLS quoting process:
 - Original:
 - TLS Conga quotation for base capacity
 - Separate TLS zFlex temporary capacity charge outside Conga
 - Simplified:
 - TLS and IBM Z teams work together to prepared modified IBM Z system configurations
 - TLS Conga quotation prepared on total capacity
 - No separate zFlex charge
 - Enable simplicity for both client and IBM deal teams

IBM Z active capacity management & TLS considerations



- DR Cloud
 - Permanent active capacity of a z MES configuration to move capacity between machines
 - Automated inventory update and TLS charges at target client contract pricing
 - Standard TLS conga quotation from IBM Z configuration correctly represents total 707 & 701 capacity between the two machines
- zFlex
 - Capacity moved between machines through zFlex temporary capacity activation record
 - Standard TLS Conga quotation and client charges reflect only 701 permanent active capacity on both machines
 - zFlex temporary capacity activations charged separately through TLS zOOCOD process

TLS zFlex simplification for IBM z17



- Two configurations prepared for primary production machine:
 - Actual zFlex configuration (with permanent active capacity of 701 in this example)
 - Adjusted configuration setting permanent active capacity to the maximum zFlex capacity level (707)
- TLS uses adjusted configuration to run simulated quotation to determine accurate total TLS price
- Final TLS quotation prepared applying 707 target total price to standard zFlex 701 configurations
 - Terms added to TLS quote to indicate that there will be no separate TLS charges for zFlex temporary capacity activations
- No configuration adjustment needed for primary DR machine running at 701 before and after zFlex example



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